

Module 10

Business and

Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

WRITTEN QUESTIONS (Total: 100 marks)

Answer 1(a)

This question required the candidates to discuss whether an online advertisement is an offer or invitation to treat.

An offer is an expression of willingness to enter into a contract on the terms stated and be bound by these terms without further negotiation as soon as they are accepted by the person to whom the statement is addressed.

An invitation to treat is an invitation to make an offer or an indication of willingness to receive an offer and is incapable of being accepted. The person who receives an offer has the choice of accepting or rejecting it.

There are established categories of invitation to treat, namely advertisements, brochures, catalogues, restaurant menus, or goods displayed in shops.

Advertisements are generally regarded as invitations to treat, rather than offers owing to limited stock.

An exception to the general rule is where an advertisement constitutes an offer to the public or "offer to the whole world", as illustrated in the case *Carlill v. Carbolic Smoke Ball Co.* [1893] 1 Q.B. 256 in which it was held by the court that the advertisement was an "offer to the whole world" which was accepted by anyone who fulfilled the conditions specified therein.

A restaurant menu is an invitation to treat. The customer is making an offer to the restaurant by placing an order and the restaurant has the choice of accepting or rejecting the customer's order.

Goods displayed in shops are invitations to treat. They cannot be offers to the whole world because of limited stocks.

A relevant case is *Fisher v Bell* [1961] QB 394 in which an article, namely a flick knife with a price on it in a shop window, was held to be merely an invitation to treat. It was in no sense an offer for sale, the acceptance of which constituted a contract. Therefore, the defendant was not in breach of the Restriction of Offensive Weapons Act 1959.

Contracting online is essentially the same as contracting off-line in a shop. Therefore, the advertisement of an item for sale on the website of an online store is an invitation to treat unless the advertisement is similar to that in the case, *Carlill v Carbolic Smoke Ball*.

When Julie submitted her order to Treasureware online, she was making an offer to buy the pressure cooker which can be accepted or rejected by Treasureware.

The advertisement posted by Treasureware on its website is merely an invitation to treat and it is clearly stated that the automated receipt of an order does not constitute acceptance of the order. Therefore, Treasureware is not bound to sell the pressure cooker to Julie at the wrong price of HK\$299.

Answer 1(b)

This question required the candidates to discuss whether past consideration is valid consideration.

Consideration can be defined as something which is given in exchange for something else under the contract. It can be money, goods or services.

Consideration must be something of economic value.

The general rule is that past consideration is not good consideration, which means that promise of reward/ consideration must be provided either during or after the formation of the contract.

In the case of *Roscorla v Thomas* [1842] 3 QB 234, the plaintiff purchased a horse from the defendant and after this transaction, the defendant promised the plaintiff that the horse was sound and free from vice. When the plaintiff subsequently found that the horse was in fact not sound, the plaintiff commenced proceedings against the defendant for breach of contract. It was held that the plaintiff did not provide consideration for the defendant's promise that the horse was sound, and the payment made by the plaintiff for the horse was past consideration, and therefore, not good consideration for the defendant's promise.

As Tommy promised to give a valuable painting to Julie only after Julie had driven Tommy to attend physical therapy sessions three times a week until Tommy's full recovery, what Julie had done for Tommy was past consideration and not good consideration. Therefore, Tommy is not bound to give the valuable painting to Julie.

Answer 2(a)

This question required the candidates to discuss the rules of the passing of property under the Sale of Goods Ordinance (Cap.26).

In a sale of goods contract, the goods can be unascertained or ascertained/ specific goods. According to s.2, specific goods mean goods identified and agreed upon at the time a contract of sale is made.

Under s.18, no property in unascertained goods in a sale of goods contract is transferred unless and until the goods are ascertained.

Under s.19, where there is a contract for the sale of specific or ascertained goods, the property in them is transferred to the buyer at such time as the parties to the contract intend it to be transferred.

S.20 specifies the rules of ascertaining parties' intention.

Rule 1:

Where there is an unconditional contract for the sale of specific goods in a deliverable state, the property in the goods passes to the buyer when the contract is made, and it is immaterial whether the time of payment or the time of delivery, or both, be postponed.

Rule 2:

Where there is a contract for the sale of specific goods and the seller is bound to do something to the goods, for the purpose of putting them into a deliverable state, the property does not pass until such thing be done, and the buyer has notice thereof.

Rule 3:

Where there is a contract for the sale of specific goods in a deliverable state, but the seller is bound to weigh, measure, test, or do some other act or thing with reference to the goods for the purpose of ascertaining the price, the property does not pass until such act or thing be done, and the buyer has notice thereof.

Rule 4:

When goods are delivered to the buyer on approval or "on sale or return" or other similar terms, the property therein passes to the buyer:

- (i) when he/ she signifies his/ her approval or acceptance to the seller;
- (ii) if he/ she does not signify his/ her approval or acceptance to the seller but retains the goods without giving notice of rejection, then, if a time has been fixed for the return of the goods, on the expiration of such time, and if no time has been fixed, on the expiration of a reasonable time.

Rule 5:

- (1) Where there is a contract for the sale of unascertained or future goods by description, and goods of that description, and in a deliverable state, are unconditionally appropriated to the contract, either by the seller with the assent of the buyer, or by the buyer with the assent of the seller, the property in the goods thereupon passes to the buyer. Such assent may be express or implied, and may be given either before or after the appropriation is made.
- (2) Where, in pursuance of the contract, the seller delivers the goods to the buyer or to a carrier or other bailee (whether named by the buyer or not) for the purpose of transmission to the buyer, and does not reserve the right of disposal, he is deemed to have unconditionally appropriated the goods to the contract.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Sale of Goods Ordinance (Cap.26).

Answer 2(b)

This question required the candidates to discuss whether a customer can claim the goods he/ she has paid for from the receivers of the seller under the law of the sale of goods.

In a recent Hong Kong case, *Kaga (H.K.) Electronics Ltd v Sun Cupid Technology (HK) Ltd [2014] HKCU 275*, it was held that goods in a deliverable state were ascertained when the seller demanded the buyer to perform the purchase order and accept delivery of the goods.

The bottles of wine ordered and already paid for were definitely in a deliverable state and could be delivered to Johnathan at his request. Therefore, these bottles of wines were ascertained goods for the purpose of the Sale of Goods Ordinance (Cap.26).

Answer 3(a)

This question required the candidates to discuss whether Matthew may have incurred criminal liability under the anti-money laundering laws of Hong Kong by doing what Winnie has asked him to do.

Under s.25(1), a person commits the offence of money laundering if he/ she deals with a property, knowing or having reasonable grounds to believe that the whole or part of the property directly or indirectly represents the proceeds of an indictable offence.

Under s.25(3), a person is liable to a fine of HK\$500,000 and to imprisonment for 3 years on summary conviction or on conviction upon indictment to a fine of HK\$5,000,000 and to imprisonment for 14 years.

As stated in *HKSAR v Choi Sui Hey* (CACC 277/2007, 31 Oct. 2008), paragraph 20: "If a person either allows another to use his bank account for the transmission of funds or accepts substantial funds from others which he then remits, without enquiry by him or explanation by the others, to third parties unknown to him, then, in the absence of evidence to the contrary, the inevitable inference will arise that the holder of the bank account has reasonable grounds to believe that the funds passing through the account or the funds with which he has dealt represent proceeds of an indictable offence."

In the case of *Oei Hengky Wiryo v HKSAR* (No. 2) [2007] 10 HKCFAR 98, it was held that unlike the English position, the prosecution did not have to prove that the property was the proceeds of a crime in order to convict a defendant under s.25(1) in Hong Kong if he/ she had reasonable grounds to believe that the property he/ she had dealt with represented the proceeds of a crime.

In *HKSAR v Pang Hung Fai* (FACC 8 of 2013), it was held that the test for determining whether a defendant has reasonable grounds to believe the property dealt with represents the proceeds of an indictable offence is whether any reasonable person (meaning a common sense, right-thinking member of the community) looking at the grounds "would believe" that the property dealt with represents the proceeds of an indictable offence. This contrasts with a test of "could believe", which is an inappropriately low standard.

Matthew was requested by Winnie to open bank accounts so that she could deposit sums of money into his bank accounts. Winnie would then ask Matthew to go to a bank to withdraw money out of Matthew's bank account to give the money back to her or remit the money to third parties unknown to Matthew. Any person in Matthew's place would probably find such transactions suspicious and would probably believe that the monies involved represent proceeds of an indictable offence. Matthew may therefore be liable for the criminal offence of money laundering under s.25.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Organized and Serious Crimes Ordinance (Cap.455).

Answer 3(b)

This question required the candidates to discuss the four essential elements of negligence and whether the injured pedestrian Mrs Slow is entitled to bring a claim against Matthew for damages on the grounds of negligence.

Liability for negligence is imposed on a person for his/ her careless acts which result in personal injury and damage to or loss of property. It is a civil wrong and not a crime and the wrongdoer is known as a "tortfeasor".

In order to prove the liability for negligence, the plaintiff, Mrs Slow, must establish the following four elements:

- (i) The defendant owed a duty of care to the plaintiff;
- (ii) The defendant breached the duty of care;
- (iii) The plaintiff's injury or loss/ damage is directly caused by the defendant; and
- (iv) The injury or damage must be reasonably foreseeable.

In the famous case of *Donoghue v Stevenson [1932] AC 562*, the judge Lord Atkin created the neighbour principle to establish the duty of care. Everyone must "take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Your neighbour is anyone closely and directly affected by my act that I ought to have them in my contemplation as being so affected when I am directing my mind to the acts or omissions which are called in question."

As a driver, Matthew definitely owes a duty of care to other road users including pedestrians like Mrs Slow.

By running a red light to order to get back to his office quickly, Matthew was probably in breach of his duty of care.

Mrs Slow's injury was directly caused by Matthew's careless act of running a red light.

It is reasonably foreseeable that a road user like Mrs Slow will sustain injury or harm as a result of Matthew's careless act of driving.

Therefore, Mrs Slow is entitled to bring a claim against Matthew for damages.

Answer 3(c)

This question required the candidates to discuss whether GTL, the employer of Matthew, can be held vicariously liable for Matthew's wrongful act.

Vicarious liability is liability imposed by the court on a defendant, who has himself done nothing wrong, for the tortious act of someone else.

Classically, liability arises in an employment relationship where the wrongdoer is the defendant's employee, and the defendant is vicariously liable for the wrongdoer's tortious act because the wrongdoer has committed such an act "in the course of his employment".

The doctrine of vicarious liability dates back to the days when society was divided into two classes, namely "masters" and "servants". Under this doctrine, a master was held liable for the tortious acts of his servant if these were committed "in the course of his employment".

In a leading textbook, Salmond on Torts, it is stated that: "A master is not responsible for a wrongful act done by his servant unless it is done in the course of his employment. It is deemed to be so done if it is either (i) a wrongful act authorized by the master, or (ii) a wrongful and unauthorised mode of doing some act authorised by the master.

In the modern context, the generally accepted formulation of the course of employment by Professor Salmond reads: [A]n employer will be liable not only for a wrongful act of an employee that he has authorised, but also for "a wrongful and unauthorised mode of doing some act authorised by the master."

However, if the employee, during the course of work, goes on "a frolic of his own," which means engaging in a diversion from his work, an unauthorised act done for his own enjoyment or benefit which is not incidental to the authorised duties for which he is employed, such an act will be regarded as outside the scope of his employment and the employer will not be held vicariously liable for such an act.

A relevant case is *Dubai Aluminium Co Ltd v Salaam* [2003] 2 AC 366. In this case, the test for determining whether the employer should be held vicariously liable for the employee's act should be "the close connection test" – "... the wrongful conduct must be so closely connected with acts the partner or employee was authorised to do that, for the purpose of the liability of the firm or the employer to third parties, the wrongful conduct *may fairly and properly be regarded* as done by the partner while acting in the ordinary course of the firm's business or the employee's employment."

The second relevant recent case is *WM Morrisons Supermarkets plc v Various Claimants* [2020] UKSC 12. In this case, the supermarket chain WM Morrison ("Morrisons") was held not to be vicariously liable for the wrongful act of a former employee, the then in-house senior internal auditor who published the personal data of almost 100,000 employees deliberately and without authorisation. The court confirmed that although the task allocated to the senior in-house auditor enabled him to publish the personal data in question, that publication was a "personal vendetta" and it was very clear that such an act did not further his employer's business and was not so closely connected to the task allocated to him by Morrisons that it could fairly and properly be regarded as done by him in the ordinary course of his employment.

The third relevant recent Hong Kong case is *Luk Wing Yan v CMB Wing Lung Bank Limited (previously known as Wing Lung Bank Limited)* [2021] HKCFI 279. In this case, it was held that the employer, the defendant bank, was held not to be vicariously liable for the fraudulent act of the employee who perpetrated a fraud investment scheme because the victim, a customer of the defendant bank, knew that the employee had no authority to offer the alleged "internal investments", which the employee said were intended for the staff/ employees of the defendant bank, to a customer.

The court found that the appropriate test to be applied in this case should be the "apparent authority test" as the defendant bank had not made any representation that the employee had the authority to offer such internal investments and the customer knew that the employee had no authority to do so. The court further expressed the view that the "close connection test" as applied by the Court of Final Appeal in *Ming An Insurance Co (HK) Ltd v Ritz-Carlton Ltd* [2002] 5 HKCFAR 569, namely, whether the employee's tortious act is so closely connected with his employment that it would be fair and just to hold the employer vicariously liable, could be reconciled with the "apparent authority" test in the sense that it is the apparent authority of the employee who makes the fraudulent representations which will indicate the necessary close connection.

On the authority of the cases quoted above, GTL can probably not be held liable for Matthew's wrongful act because Matthew was obviously going on a frolic of his own when he drove through a red light in order to go back to office quickly. The trip to the bank was definitely not related to his employment as Sales Executive of GTL.

Answer 4(a)

This question required the candidates to discuss the law relating to undisclosed principal.

In some situations, the identity of the principal is not disclosed to the third party. The situations where the "undisclosed principal" arise are:

- (i) a principal acting through his/ her agent might for personal reasons choose not to disclose his/ her identity;
- (ii) an agent might not be willing to disclose the existence of his principal behind as it would sometimes be easier for an agent to bargain and conclude contracts by making the representation that he/ she is the actual "principal" so that he/ she has the power to make the ultimate decision.

In the case of an "undisclosed principal", the third party believes that he/ she is only contracting with the agent as he/ she does not know that the agent is in fact acting on behalf of a principal.

If the agent does not disclose the nature of his/ her agency (the fact that he/ she acts on behalf of another) and thus does not disclose the name of the principal, the agent may be held personally liable for his/ her actions.

If the principal is undisclosed at the time of the transaction, but subsequently discovered to be the actual principal, the third person may choose to hold such principal liable for the transaction because he/ she is the party who is really interested in the transaction. However, the third party's choice must be clear and unequivocal.

A relevant case is *Watteau v. Fenwick* 1 Q.B. 346. In this case, the defendants, the owners of the business of a beer house, appointed a manager of the business. Under the agreement between the defendants and their manager, the manager was not allowed to purchase certain articles for the purpose of the business. However, the manager contravened his instructions and ordered such articles from the plaintiff for use in the business. The plaintiff supplied the goods and gave credit for them to the manager only. Subsequently, the plaintiff sued the defendants for the value of the goods upon discovering that they were the real owners of the business.

It was held that that the defendants, as the real principals, were liable for all acts of their agent which were within the authority usually conferred on an agent of that particular character, although the defendants had never held the manager out as their agent, and although the authority they had given to him had been exceeded.

As Johanna has obviously acted within the authority given to her by Jerry, Ms Koh can choose to enforce the Share Purchase Agreement against either Johanna or Jerry. However, Ms Koh cannot sue both Johanna and Jerry for the purchase price of the shares under the Share Purchase Agreement at the same time.

Answer 4(b)

This question required the candidates to discuss the jurisdiction of the Court of First Instance.

The Court of First Instance of the High Court has unlimited jurisdiction in both criminal and civil matters.

As far as its civil jurisdiction is concerned, the Court of First Instance hears claims involving an amount of over HK\$3 million.

The Court of First Instance also deals with admiralty cases, bankruptcy cases, company winding-up cases as well as adoption and probate cases.

As regards a civil case, the High Court Judge sits without a jury except for defamation cases.

The Court of First Instance has appellate jurisdiction and hears appeals from the Magistrates' Courts, the Labour Tribunal, the Small Claims Tribunal and the Obscene Articles Tribunal.

As Ms Koh's claim involves an amount of HK\$8 million, the Court of First Instance has jurisdiction to deal with her claim.

Answer 5(a)

This question required the candidates to discuss the different types of directors and which type(s) of director April is.

Types of directors:

- (i) An executive director usually has a contract of employment with the company and is an employee of the company. He/ She is involved in the daily operation of the business.
- (ii) A non-executive director is an individual who plays the role of an independent adviser providing guidance and oversight to the executive directors and the company. He/ She is not an employee of the company. He/ She usually has a contract of service with the company and is paid a fee and expenses for his/ her work.
- (iii) A *de jure* director is a director who has been validly appointed in accordance with the company's articles of association and the law.
- (iv) A *de facto* director is a person who may not have been formally appointed as a director of a company but effectively acts as director. He/ She has the authority to make decisions on behalf of the company. He/ She is therefore subject to the same duties and responsibilities as appointed directors and may also be liable for the company's actions and debts.
- (v) A shadow director is a person who is not a director of the company, but who instructs or influences the directors on how to run the company. As he/ she exerts significant influence over the decision-making process, despite not having been formally appointed as a director, he/ she may be liable for the company's actions and debts.
- (vi) An alternate director is a person appointed by a director as an alternate when a director cannot attend a board meeting. An alternate director is regarded as the agent of the director who appoints him/ her.

- (vii) A reserve director is appointed to act in the place of the sole director in the event of his/ her death.
- (viii) A nominee director is a person who is appointed to act as a director of a company on behalf of another person or entity.

As April has formally been appointed as the sole director of BSL and is in charge of the daily operation of BSL, she is a *de jure* director and an executive director.

Answer 5(b)

This question required the candidates to discuss the role played by Billy in BSL.

Although Billy had not formally been appointed as a director of BSL, he often gave instructions to April as regards the operation of BSL and April always followed his instructions, Billy is a shadow director of BSL.

Answer 5(c)

This question required the candidates to discuss the fiduciary duties owed by a director to the company he/ she works for.

Fiduciary duties owed by April to BSL:

- (i) Duty to act in good faith

The duty to act in good faith means a director needs to make decisions with honesty, integrity, and a genuine belief that their actions serve the best interests of the company.

In *Re Smith and Fawcett Ltd CA [1942]*, it was held that directors "must exercise their discretion *bona fide* in what they consider - not what a court may consider - is in the interests of the company, and not for any collateral purpose.

In *Tam Po Kei v Tam Bo Kin (No1) [2011] 1 HKLRD 537*, it was held that the defendant director, who was responsible for the company's day-to-day affairs, was liable to account for dividends which were not properly declared and which to be wrongfully distributed.

- (ii) Duty to exercise powers for a proper purpose

As directors are given significant power within the company they work for, they must use this power only for legitimate and intended purposes. Directors must not use their powers for an improper purpose even if they act honestly and diligently in the belief that the transaction about to be conducted is for the benefit of the company.

In *Howard Smith Ltd v Ampol Petroleum Ltd* [1974] A.C. 821, the company was subject to takeover bids from two of its shareholders. Directors of the company allotted a substantial number of new shares to the preferred bidder to give him majority because it was clear that the offer made by the preferred bidder was better for the company. However, on the facts, issue of shares was intended entirely to dilute the power of majority shareholder who was not the preferred bidder. Therefore, it was held that the issue of shares was an improper use of their power and the directors were in breach of their duty.

(iii) Duty to avoid conflict of interest and declaration of interest

Directors must not take advantage of the company's opportunities and must avoid situations in which they have a direct or indirect interest which conflicts, or possibly may conflict, with the interests of the company, the no profit rule. Conflicting interests may only be permitted if they are disclosed to the company.

In *Boardman v Phipps* [1966] UKHL 2, the defendants, Boardman who was a solicitor for the family trust, and one of the beneficiaries under the trust, in good faith, purchased a controlling interest in the company for the benefit of the trust. The shareholding increased in value and one of the other beneficiaries therefore sought an account of the personal profits made by the defendants. It was held that the defendants were liable to account for the profits less the costs incurred for realising them.

Under ss.536-8 and 542, directors are required to disclose to the board their interest in any contract made by the company.

Under s.536, if a director of a company is in any way, directly or indirectly, interested in a transaction, arrangement or contract, or a proposed transaction, arrangement or contract, with the company that is significant in relation to the company's business, and the director's interest is material, the director must declare the nature and extent of the director's interest to the other directors.

Under s.538, a declaration to directors under s.536 must be made at a directors' meeting, made by notice in writing and sent by the director to the other directors; or made by general notice by the director.

Under s.542, a director or shadow director who contravenes s.536 commits an offence and is liable to a fine.

For the purpose of ss.536-8 and 542, contract means a contract which is of significance in relation to the company's business. This requirement of disclosure of interests in contracts is contained in the Articles of Association of most companies.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 5(d)

This question required the candidates to discuss whether the divert was in breach of any duties owed to the company by diverting the company business to another company.

By diverting the business of BSL to BBL, April was definitely putting her personal interest ahead of that of BSL. She was definitely in breach of her fiduciary duties owed to BSL, namely to act in the best interest of BSL and to avoid conflict of interest.

A recent Hong Kong case *Poon Ka Man Jason & Others v Cheng Wai Tao & Others* [2016] HKCFA 23 is relevant. In this case, two siblings, Jason Poon and Daisy Poon, and Ricky Cheng ("Ricky") were business partners of a restaurant group in Hong Kong known as Ajisen. Ajisen initially operated noodle restaurants. Ajisen then incorporated a company called Smart Wave Ltd ("Smart Wave") which opened one sushi restaurant. Subsequently, Ricky began to create, operate and expand his own brand of sushi restaurants on his own through a company in which he was both the sole director and sole shareholder, although the siblings had agreed to develop a chain of Japanese-style sushi restaurants as an extension of the existing Ajisen business.

It was held by the court that Ricky's incorporation of additional companies which ran a business in competition with Smart Wave diverted business opportunities and profits away from Smart Wave to its detriment. Ricky was therefore in breach of his fiduciary duties to Smart Wave.

Answer 5(e)

This question required the candidates to discuss the remedies available to the company if a director is in breach of his/ her fiduciary duties.

(i) Avoidance of transactions

Transactions which have been made in breach of director's fiduciary duties will be voidable at the election of the company, if the conditions for rescission are fulfilled. Rescission means restoring to the position to what it would have been if the transaction had not been entered into.

(ii) Account of profits/ disgorgement of profits made as a result of breach of duty

A director may have to account to the company for any profits he/ she has made as a result of the breach of fiduciary duties owed to the company.

A director may be made to account even if the company has suffered no loss and even if the company itself could not have made the profits, *Regal (Hastings) Ltd v Gulliver* [1967] 2 AC 134.

(iii) Equitable compensation

According to the "no loss" argument, the basic rule is stated in *Target Holdings v Redferns (a firm)* [1996] AC 421, 434 that "a trustee in breach of trust must restore or pay to the trust estate either the assets which have been lost to the estate by reason of the breach or compensation for such loss". This rule applies to directors and compensation should therefore be determined by reference to the loss directly caused by the breach of trust, *Target Holdings v Redferns (a firm)* [1996] AC 421 and *AIB Group (UK) plc v Mark Redler & Co* [2014] UKSC 58.

(iv) Return of property to the company

A director may have to restore to the company property transferred to him in breach of *fiduciary* duty. In *Harrison (JJ) (Properties) Ltd v Harrison* [2001] 1 BCLC 162 it was held that directors who had disposed of a company's property in breach of their fiduciary duties were to be treated as having committed a breach of trust, and hence were to be treated as constructive trustees of any such property that were in their possession and under their control.

April, being the director of BSL, and Billy, being the shadow director of BSL, may be liable to account for the profits they have made from diversion of the business of BSL to BBL.

Answer 6(a)

This question required the candidates to discuss the obligation of a substantial shareholder to disclose his/ her interest to the Hong Kong Stock Exchange and to the listed company in which he/ she owns shares.

Under Part XV of the SFO, certain categories of persons are required to disclose the interest in the shares they hold in a listed company. In general, such persons include: (i) substantial shareholders (s.310) and (ii) directors and chief executives of a listed company (ss.341 to 351).

Under s.310, a person has the obligation to disclose to the Hong Kong Stock Exchange and the listed company concerned when he/ she acquires, or ceases to have a notifiable percentage interest in shares and when there are changes in his/ her percentage interest.

Under s.315 (i), the notifiable percentage level for substantial shareholders shall be construed as a reference to is 5%. Under s.315 (ii), the specified percentage level for substantial shareholders should be construed as a reference to is 1%.

Under s.310, disclosure is required on the occurrence of any of the following events which are set out in s.313:

- (i) The person has a notifiable interest immediately after the relevant time, but did not have a notifiable interest immediately before the relevant time;
- (ii) The person had a notifiable interest immediately before the relevant time, but does not have a notifiable interest immediately after the relevant time;

- (iii) The person had a notifiable interest immediately before the relevant time, and has a notifiable interest immediately after the relevant time, but the percentage levels of his/ her interest immediately before and immediately after the relevant time are not the same; or
- (iv) The person had a notifiable interest immediately before the relevant time, and has a notifiable interest immediately after the relevant time, but the nature of his/ her interest (or part thereof) immediately before and immediately after the relevant time is not the same.

The term "relevant time" as defined in s.308 means the time of the occurrence of the "relevant event". The term "relevant event" is defined in the same section in detail.

Answer 6(b)

This question required the candidates to discuss whether Vivian, being a substantial shareholder of GPL, was liable for the breach of the obligation of disclosure of her interest in GPL under the Securities and Futures Ordinance (Cap.571) if she had delegated the duty of disclosure of her interest to her agent Jason.

Under s.321, a substantial shareholder who acquires or disposes of interests in shares in a listed corporation through an agent must ensure that he is notified by his agent of any change of interest immediately after its occurrence. This is consistent with and reinforces s.325 under which a substantial shareholder has the obligation to perform the duty of disclosure by making sure that he is aware of any change of interest.

In the recent case of *Securities and Futures Commission v Lam Fai Man*, HCMA 465/2015, Lam Fai Man ("Lam") a substantial shareholder of Victory Group Ltd ("Victory") had sold and acquired a number of shares in Victory through a stockbroker, Mak on both occasions. Although Mak, notified the Hong Kong Stock Exchange of the two transactions, he failed to notify Victory because of a misunderstanding of what the law required. Lam was convicted by the Magistrates' court of failing to disclose the transactions to Victory and was fined HK\$6,000 for each of the transactions. Lam's appeal to the Court of First Instance against his conviction was dismissed. It was held that the legal obligation was on Lam to ensure that his duty of disclosure and notification was properly performed, and that obligation remained on Lam even if he delegated the task to his agent.

Like in the case of Lam Fai Man, Vivian's delegation of the task of disclosure of her interest in GPL to her agent, Jason, will not constitute a defence for her non-compliance with requirement of disclosure of her interest in GPL and she will probably be held liable for her failure to disclose her interest to GPL.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Securities and Futures Ordinance (Cap.571).

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